Impartial Analysis of Measure E

This measure was placed on the ballot by the County of Monterey Board of Supervisors to let residents vote on a 2% increase to the existing transient occupancy tax. This 2% increase would bring the existing transient occupancy tax in the unincorporated areas of the county from 10.5% to 12.5%. The tax would provide approximately $7,600,000 annually to be spent locally, until ended by voters, as set forth in the Measure.

Revenue and Taxation Code section 7280 authorizes a county to levy a tax for the privilege of occupying a room or other living space in a hotel, motel or other lodging, where the lodging is for 30 days or less. The County of Monterey has previously enacted ordinances, codified at Chapter 5.40 of the Monterey County Code, which imposes a transient occupancy tax of 10.5% in the unincorporated areas of Monterey County on the rent charged by the operator for the occupancy of hotels, motels, inns or other lodging (with some exceptions).

Funds collected from this increase will be used for critical County services including roads, water and sewer infrastructure, emergency services, libraries, parks, healthcare, and reducing homelessness. The transient occupancy tax will not be used for regulation or for raising revenue for regulatory purposes. All proceeds from the tax will be placed in the County's general fund and spent locally. This type of tax is designed to offset certain costs of tourism on infrastructure and services.

Pursuant to the Revenue and Taxation Code section 7280, all ballots in Monterey County shall contain the transient occupancy tax increase question, although the tax would only increase the transient occupancy tax in the unincorporated areas of Monterey County, if approved. Pursuant to subdivision (b) of section 2 of Article XIII C of the California Constitution and section 53723 of the California Government Code, the tax must be submitted to the voters and approved by a majority vote of the voters. If passed, the proposed increase to the transient occupancy tax would be accomplished by an ordinance amending Chapter 5.40 of the Monterey County Code.

A "Yes" vote on this measure is a vote in favor of a 2% increase to the existing transient occupancy tax bringing the tax from 10.5% to 12.5% to be paid only by those occupying a room or other living space in a hotel, motel, or other lodging, where the lodging is for 30 days or less as set forth in Chapter 5.40 of the Monterey Code and in Measure E.

A "No" vote on this measure is a vote against a 2% increase to the existing transient occupancy tax bringing the tax from 10.5% to 12.5% to be paid only by those occupying a room or other living space in a hotel, motel, or other lodging, where the lodging is for 30 days or less as set forth in Chapter 5.40 of the Monterey Code and in Measure E.

Dated: August 14, 2026

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Received

AUG 13 2026

Monterey County Elections